

Metacognition

OF ALL THE cognitive errors in human psychology, perhaps the most important to our charge of *be less stupid* is the Dunning-Kruger effect (DKE). Its rise in pop culture is why it may also be the most misunderstood cognitive concern. Dunning-Kruger is an incredibly useful tool that helps me better understand the errors I observe in markets.

David Dunning is a Professor of Psychology at the University of Michigan³⁷¹ who studies human understanding. In 1999, he and Justin Kruger, a graduate student, published an in-depth study of how people, regardless of their expertise, evaluate their own skills. Titled “Unskilled and Unaware of It,”³⁷² their study found that people with limited competence in a specific area *overestimated* their abilities in that area. Metacognition, it turns out, is a discrete skill unto itself. It tends to increase as your skill in the underlying domain increases. As you improve at a *thing*, your ability to evaluate your skills at that *thing* also improves.

Yes, the least competent suffer from the DKE, but so do those of average competency. Even experts show the effects of DKE, as their deep knowledge and awareness of difficulty may lead them to *underestimate* their own abilities.

Metacognition is tricky.

The DKE is more than mere overconfidence, hubris, or incompetence; it’s a very specific way to describe the estimation of skills, and a way to frame an error that helps us understand why it occurs and how it manifests in human decision-making.
